Unit - 4

IV	**Compensation, Employee Welfare, & Industrial Relations** Job Evaluation, Objectives and components of employee compensation (base pay, incentives, fringe benefits); Wage policy, Wage determination, wage board, factors influencing wage and salary administration. Industrial Relations (IR): Concept and importance; overview of industrial disputes, collective bargaining, and grievance handling machinery.

Job Evaluation

A **job evaluation** is a systematic way of determining the value/worth of a job in relation to other jobs in an organization. It tries to make a systematic comparison between jobs to assess their relative worth for the purpose of establishing a rational pay structure.

Job evaluation needs to be differentiated from job analysis. Job analysis is a systematic way of gathering information about a job. Every job evaluation method requires at least some basic job analysis in order to provide factual information about the jobs concerned. Thus, job evaluation begins with job analysis and ends at that point where the worth of a job is ascertained for achieving pay equity between jobs.

Objectives of Job Evaluation

1. To determine equitable wage differentials b/w different jobs in the organization
2. To eliminate wage inequities
3. To develop a consistent wage policy
4. To establish a rational basis for incentive and bonus schemes

5. To provide a framework for periodic review and revision of wage rates

6. To provide a basis for wage negotiations with trade unions

7. To minimize wage discrimination on the basis of age, gender, caste etc.

8. To enable management to control the payroll cost

Process of job evaluation

The process of job evaluation involves the following steps:

- Gaining acceptance: Before undertaking job evaluation, top management must explain the aims) and uses of the programme to theemployees and unions. To elaborate the programme further, oral presentations could be made. Letters, booklets could be used to classify all relevant aspects of the job evaluation programme.

- Creating job evaluation committee: It is not possible for a single person to evaluate all the key jobs in an organisation. Usually a job evaluation committee consisting of experienced employees, union representatives and HR experts is created to set the ball rolling.

- Finding the jobs to be evaluated: Every job need not be evaluated. This may be too taxing and costly. Certain key jobs in each department may be identified. While picking up the jobs, care must be taken to ensure that they represent the type of work performed in that department.

- Analysing and preparing job description: This requires the preparation of a job description and also an analysis of job needs for successful performance .

- Selecting the method of evaluation: The most important method of evaluating the jobs must be identified now, keeping the job factors as well as organisational demands in mind.

- Classifying jobs: The relative worth of various jobs in an organisation may be found out after arranging jobs in order of importance using criteria such as skill requirements, experience needed, under which conditions job is performed, type of responsibilities to be shouldered, degree of supervision

needed, the amount of stress caused by the job, etc. Weights can be assigned to each such factor. When we finally add all the weights, the worth of a job is determined. The points may then be converted into monetary values.

Job evaluation methods

There are three basic methods of job evaluation: (1) ranking, (2) classification, (3) factor comparison. While many variations of these methods exist in practice, the three basic approaches are described here.

Ranking method

Perhaps the simplest method of job evaluation is the ranking method. According to this method, jobs are arranged from highest to lowest, in order of their value or merit to the organization. Jobs can also be arranged according to the relative difficulty in performing them. The jobs are examined as a whole rather than on the basis of important factors in the job; the job at the top of the list has the highest value and obviously the job at the bottom of the list will have the lowest value. Jobs are usually ranked in each department and then the department rankings are combined to develop an organizational ranking. The variation in payment of salaries depends on the variation of the nature of the job performed by the employees. The ranking method is simple to understand and practice and it is best suited for a small organisation. Its simplicity however works to its disadvantage in big organisations because rankings are difficult to develop in a large, complex organisation. Moreover, this kind of ranking is highly subjective in nature and may offend many employees. Therefore, a more scientific and fruitful way of job evaluation is called for.

Classification method

According to this method, a predetermined number of job groups or job classes are established and jobs are assigned to these classifications. This method places groups of jobs into job classes or job grades. Separate classes may include office, clerical, managerial, personnel, etc. Following is a brief description of such a classification in an office.

- Class I - Executives: Further classification under this category may be Office Manager, Deputy office manager, Office superintendent, Departmental supervisor, etc.
- Class II - Skilled workers: Under this category may come the Purchasing assistant, Cashier, Receipts clerk, etc.
- Class III - Semiskilled workers: Under this category may come Stenotypists, Machine-operators, Switchboard operator etc.
- Class IV - Unskilled workers: This category comprises Daftaris[*clarification needed*], File clerks, Office boys, etc.

The job classification method is less subjective when compared to the earlier ranking method. The system is very easy to understand and acceptable to almost all employees without hesitation. One strong point in favour of the method is that it takes into account all the factors that a job comprises. This system can be effectively used for a variety of jobs. The weaknesses of the job classification method are:

- Even when the requirements of different jobs differ, they may be combined into a single category, depending on the status a job carries.
- It is difficult to write all-inclusive descriptions of a grade.
- The method oversimplifies sharp differences between different jobs and different grades.
- When individual job descriptions and grade descriptions do not match well, the evaluators have the tendency to classify the job using their subjective judgements.

Factor comparison method

A more systematic and scientific method of job evaluation is the factor comparison method. Though it is the most complex method of all, it is consistent and appreciable. Under this method, instead of ranking complete jobs, each job is ranked according to a series of factors. These factors include mental effort, physical effort, skill needed, responsibility, supervisory responsibility, working

conditions and other such factors (for instance, know-how, problem solving abilities, accountability, etc.). Pay will be assigned in this method by comparing the weights of the factors required for each job, i.e., the present wages paid for key jobs may be divided among the factors weighted by importance (the most important factor, for instance, mental effort, receives the highest weight). In other words, wages are assigned to the job in comparison to its ranking on each job factor.

The steps involved in factor comparison method may be briefly stated thus:

- Select key jobs (say 15 to 20), representing wage/salary levels across the organisation. The selected jobs must represent as many departments as possible.
- Find the factors in terms of which the jobs are evaluated (such as skill, mental effort, responsibility, physical effort, working conditions, etc.).
- Rank the selected jobs under each factor (by each and every member of the job evaluation committee) independently.
- Assign money value to each level of each factor (example: consider problem solving is one of the factor, what level of problem solving is required {basic, intermediate or advance}) and determine the wage rates for each key job.
- The wage rate for a job is apportioned along the identified factors.
- All other jobs are compared with the list of key jobs and wage rates are determined. An example of how the factor comparison method works is given below:

After the wage rate for a job is distributed along the identified and ranked factors, all other jobs in the department are compared in terms of each factor.

Point method

This method is widely used currently. Here, jobs are expressed in terms of key factors. Points are assigned to each factor after prioritizing each factor in order of importance. The points are summed up to determine the wage rate for the job.

Jobs with similar point totals are placed in similar pay grades. The procedure involved may be explained thus:

1. Select key jobs. Identify the factors common to all the identified jobs such as skill, effort, responsibility, etc.

2. Divide each major factor into a number of sub factors. Each sub factor is defined and expressed clearly in the order of importance, preferably along a scale.

The most frequent factors employed in point systems are (i) Skill (key factor); Education and training required, Breadth/depth of experience required, Social skills required, Problem-solving skills, Degree of discretion/use of judgment, Creative thinking (ii) Responsibility/Accountability: Breadth of responsibility, Specialized responsibility, Complexity of the work, Degree of freedom to act, Number and nature of subordinate staff, Extent of accountability for equipment/plant, Extent of accountability for product/materials; (iii) Effort: Mental demands of a job, Physical demands of a job, Degree of potential stress

The educational requirements (sub factor) under the skill (key factor) may be expressed thus in the order of importance.

3. Find the maximum number of points assigned to each job (after adding up the point values of all sub-factors of such a job).

This would help in finding the relative worth of a job. For instance, the maximum points assigned to an officer's job in a bank come to 540. The manager's job, after adding up key factors + sub factors points, may be getting a point value of say 650 from the job evaluation committee. This job is now priced at a higher level.

4. Once the worth of a job in terms of total points is expressed, the points are converted into money values keeping in view the hourly/daily wage rates.

Compensation System

Compensation is the total reward received by an employee in exchange for services performed for an organization. It can include both direct pay (salary and wages) and indirect pay (benefit programs). Worker’s compensation first started in Germany in the 1800’s.

A compensation system is a system that is designed to determine amount of pay given the many individuals in an organization. On its simplest level, a manager simply makes his or her best guess as to what an individual should be paid and what he or she will accept. In its most complex form, a compensation system contains many different decision rules, guidelines, and processes for determining pay level and pay structure. Here are the various components of a compensation system.

Pay Structure- The relative pay differential among various jobs within the organization and how this is determined.

Pay Level- The relative amount of pay assigned to each job compared to the job market

Pay Form- The makeup of the pay this individual receives. The relative amount of guaranteed vs. at risk pay.

Basis for pay increases- How pay changes from year to year is an important aspect of a compensations system.

Aims of a compensation System

1. Attract high-quality employees
2. Retain these high-quality employees
3. Insure adequate role behavior is exhibited among employees
4. Motivation extra role behavior in employees

Components of Employee Compensation

The basic components of employee compensation and benefits

Employee compensation and benefits are basically divided into four categories:

1. **Guaranteed pay** – monetary (cash) reward paid by an employer to an employee based on employee/employer relations. The most common form of guaranteed pay is the basic salary.

2. **Variable pay** – monetary (cash) reward paid by an employer to an employee that is contingent on discretion, performance or results achieved. The most common forms are bonuses and sales incentives.

3. **Benefits** – programs an employer uses to supplement employees' compensation, such as paid time off, medical insurance, company car, and more.

4. **Equity-based compensation** – a plan using the employer's share as compensation. The most common examples are stock options.

Every inducement system can be evaluated from the perspective of two behavioral constructs: Satisfaction and Motivation. Satisfaction with an inducement system has to do with the degree to which this inducement system meets and individuals expectations and validates his or her identity. Motivation refers to the degree to which this inducement system is capable of eliciting extra role behavior from the employee.

"stars."

Incentive Plans

These systems based in individuals pay directly on his or her measured productivity.

Piece rate- Individuals are compensated for the number of units produced.

Standard hour plans- A standard amount of time is computed for various operations (e.g., installing a new starter in a Lexus). Employees are paid their hourly rate for the standard hour for each operation performed, regardless of how long it actually takes. For example, if the standard for installing a starter in a Lexus is 1.5 hours and the mechanic is paid at the rate of $40/hour, he or she will receive $60 for each starter installed, whether it actually takes 1 hour or 3 hours.

Bonuses

Bonuses are generally lump sum payments awarded for the accomplishment of a specific objective, such as finishing a project on time. Unlike merit pay, bonuses do not become part of an individual's base pay. Three types of bonuses are:

(i) Individual

(ii) Team/group/department

(iii) Organizational

Profit Sharing

Profit-sharing is a system whereby individuals receive an annual bonus based on the overall profitability of the company. Individuals believe that working harder, more efficiently, or more creatively will increase the profitability of the company, thus increasing the profit pool distributed to employees.

Gainsharing

Gainsharing bases monthly, quarterly, or annual bonuses on employee productivity generally measured by a formula comparing labor costs to value of products produced. As employees become more productive, the labor costs decrease for a given product output. The saving incurred to split between the employees and the company.

Fringe Benefits and Services

Employee benefits are all forms of consideration given by an enterprise in exchange for service rendered by employees.

Short-term employee benefits:

These benefits are employee benefits (other than termination benefits) which fall due wholly within twelve months after the end of the period in which the employees render the related service.

Post-employment benefits:

Post-employment benefits are employee benefits (other than termination benefits) which are payable after the completion of employment. Post-employment benefit plans are formal or informal arrangements under which an enterprise provides post-employment benefits for one or more employees.

Defined contribution plans:

Defined contribution plans are post-employment benefit plans under which an enterprise pays fixed contributions into a separate entity (a fund) and will have no obligation to pay further contributions if the fund does not hold sufficient assets to pay all employee benefits relating to employee service in the current and prior periods.

Defined benefit plans:

These plans are post-employment benefit plans other than defined contribution plans.

Multi-employer plans:

Multi-employer plans are defined contribution plans (other than state plans) or defined benefit plans (other than state plans) that:

(a) pool the assets contributed by various enterprises that are not under common control; and

(b) use those assets to provide benefits to employees of more than one enterprise, on the basis that contribution and benefit levels are determined without regard to the identity of the enterprise that employs the employees concerned.

Other long-term employee benefits are employee benefits (other than post-employment benefits and termination benefits) which do not fall due wholly within twelve months after the end of the period in which the employees render the related service.

Termination benefits are employee benefits payable as a result of either:

(a) an enterprise's decision to terminate an employee's employment before the normal retirement date; or

(b) an employee's decision to accept voluntary redundancy in exchange for those benefits (voluntary retirement).

Vested employee benefits are employee benefits that are not conditional on future employment.

The present value of a defined benefit obligation is the present value, without deducting any plan assets, of expected future payments required to settle the obligation resulting from employee service in the current and prior periods.

Current service cost is the increase in the present value of the defined benefit obligation resulting from employee service in the current period.

Interest cost is the increase during a period in the present value of a defined benefit obligation which arises because the benefits are one period closer to settlement.

Plan assets comprise:

(a) assets held by a long-term employee benefit fund; and

(b) qualifying insurance policies

Factors Influencing Employee Compensation / Wage or Salary Administration

Management

A number of factors influence the remuneration payable to employees. They can be categorised into (i) external and (ii) internal factors.

(A) **Internal Factors**

These factors include the following:

Ability to pay

This is one of the most significant factor influencing employee compensation. Generally, a firm, which is prosperous and successful, has the ability to pay more than the competitive rate. This way it can attract a superior caliber of personnel. Often the labour unions also demand an increase in compensation on the grounds that the organisation is prosperous and is able to pay more.

Employee

Numerous employees related factors also influence his or her compensation. These include the following:

Performance—It is always rewarded with pay increase and as a result it motivates the workers to do better in future.

- **Experience**—This makes a person perfect by providing valuable insights and thus rewarded also. Today companies are demanding for 10 to 20 years experience candidates especially for the executive positions. The companies presume that experience candidate posses leadership skills which influence the other behavior and performance. Generally experience candidate perform the job without need of training which is time consuming and deals with matter of cost to company. Hence the experience candidates demand more pay than an unexperienced candidate.

- **Seniority**—In today's environment seniority of employee making difference in payment of compensation compared to Jr employees. Naturally senior employees demands for more salary than fresher because of their hold on related job and its functions. Today many companies are demanding senior employees for key positions by offering fat pay and even sometimes retired employees are offered with handsome salary for key positions which deals with multitasking in organisation. Trade unions always prefer this objective criterion for pay rises.

- **Potential**—Firms also pay their employees, especially young ones on the basis of their potential.

Job requirements

Wages arc also influenced by the requirements of a job such as physical and mental requirement. Jobs, which demand more skill, responsibility, efforts and are of hazardous in nature, will carry high wage tag with them.

Job evaluation

Job evaluation establishes a consistent and systematic relationship among base compensation rates for all jobs. In other words, it establishes the satisfactory wage differentials.

Organisation's strategy

The organisation's strategy regarding wages also influences employee compensation. For example, an organisation, which wants rapid growth, will set higher wages than competitors. On the other hand, organisations that want smooth going and just maintain the current earning will pay average or below average.

(B) External Factors

These factors include the following:

Laws and Regulations

Laws and regulations impact the remuneration of employees in many areas, such as:

- Work hours and compulsory time-off (paid and unpaid)
- Minimum wage
- Overtime
- Compulsory bonuses
- Employment at will

Economy

The state of economy also influences the wage and salary-fixation. Wage rates will he different in a stable economy than in a depressed economy. In case of depressed economy there may be increase in supply of labour and this results in the fixation of lower wage rates.

Inflation

Increase in the prices of commodities and decrease in value of the money is

called as inflation. The causes of inflation are many which are raising costs, fall in the currency value in international markets, raising taxes by government and stagnation in the development of economy, etc. In India year 2012, due to the inflation nearly 22 listed companies had increased salary of its employees ranging between 12% to 27% compared to last year. Example Reliance Industries Ltd had paid nearly13% increase in salaries to its employees compared to last year salaries and HDFC (Housing Development Finance Corporation) Bank had paid nearly 21% increase in salaries to its employees compared to last year salaries.

Technological changes

Technological changes also influence the fixation of wage levels. Due to the advancements in the technology there may be shortage of skilled manpower in that area. So, the organisation will provide high wages for skilled personnel. For example, information technology (IT) industry in India and abroad is suffering from the shortage of IT experts.

Academic Institutions

Having good academic qualifications from Reputed and standard educational institution influence the compensation of the potential candidate in their recruitment in companies. Example, Indian Top Business schools like Indian Institute of Management, and IIT (Indian Institute of Technology) graduates demands higher pay packages compared to other normal institutions. Candidates seeking admission into theses institution requires to qualify tests conducted on domain knowledge. Candidates those who admit in these institution are determined, having competence and good domain knowledge which companies require.

Industrial Relations

Industrial relations can be defined as the relations between managements and unions or between representatives of employees and representatives of employers. The term ‘industrial relations’ in its widest sense, includes in all

aspects of work and emplpoyment between the parties to an employment contract. Industrial relations has been defined using various terminologies, but in the broader sense, it is essentially the relationship between management and labor. Another related term is ‘employee relations’ or ‘human relations’. Dale Yoder defines it as a "whole field of relationships that exists because of the necessary collaboration of men and women in the employment process of an industry."

The relationships between employers and workers have with the organisations are formed to promote their respective interests, and the relations between those organisations, at all levels. IR also includes the processes through which these relationships are expressed (such as collective bargaining, worker’s participation in decision-making, grievance and dispute settlement.

Definitions – According to **Dale Yoder**, “Industrial relations describe relationships between management and employees or among employees and their organisations, that characterize or grow out of employment.”

According to **John. T. Dunlop**, “ Industrial societies necessarily create industrial relations, defined as the complex of interrelations among managers, workers and agencies of government.”

Evolution of Industrial Relations –

1. In the beginning of the industrial society, the economic system considered of a large number of small businesses, employing a small no. of workers.
2. The relationship between employer and employee was informal, personal and intimate.
3. Formal institutions grew up to regulate this relationship.

Scope of Industrial Relations -

IR refers to the study of relations among employees, employers, the government and trade unions. It includes the followings-

1. Collective Bargaining
2. Role of management, unions, and government

3. Industrial Disputes
4. Machinery for resolution of industrial disputes
5. Workers' participation in management
6. Individual grievance and disciplinary policy and practice
7. Labour Legislation

Role of Industrial Relations:

1. IR establishes communication between workers and management to maintain the sound relationship between the two.

2. IR establishes support between managers and employees.

3. IR ensures the creative contribution of trade unions to avoid industrial conflicts.

4. IR seeks to protect the rights of managers too. Managers expect workers to observe code of discipline.

Importance of Industrial Relations:

1. Protect management and labor interests by securing mutual relations between the two groups.

2. Avoid disputes between management and labor, and create a harmonizing relationship between the groups so productivity can be increased.

3. Ensure full employment and reduce absenteeism, hence, increasing productivity and profits.

4. Emphasize labor employer partnership to establish and maintain industrial democracy. This is done to ensure the sharing of profit gains, and personal developmental of all all employees.

5. Provide better wages and living conditions to labor, so misunderstandings between management and labor are reduced to a minimum.

6. To bring about government control over plants where losses are running high, or where products are produced in the public interest.

7. To bridge a gap between various public factions and reshape the complex social relationships emerging out of technological advances by controlling and disciplining members, and adjusting their conflicts of interests.

Parties to Industrial Relations-

There are six main parties who are actively associated with any industrial relation system. They are the employees, employers, employer's association, government, the trade union, courts, and tribunals.



Industrial Disputes

The conflicts and disputes between employer and employees in any matter are known as industrial disputes. The relations between employers and employees are frequently clouded by a sense of exploitation, distrust and discontent.

The term dispute is characterized by the following factors:

- There must actually be a difference or dispute
- The dispute must pertain to some work related issue
- The dispute could between employer-employer, employee-employee, employer-employee

Forms of Industrial Disputes-

- **Strikes:-** It means quitting of work by a group of workers for the purpose of bringing pressure on their employer to accept the demands.

Types of Strikes-

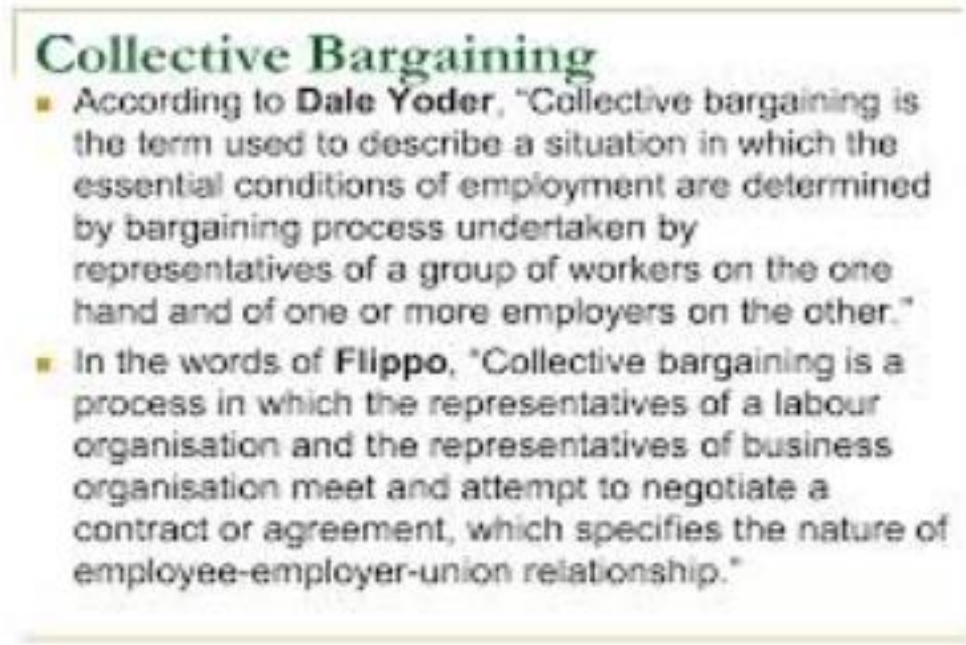
i. Economic Strike
ii. Sympathetic Strike
iii. Sit down Strike
iv. Slow down Strike
v. Hunger Strike

- **Lockouts: -** In this the employer closes the place of work to put pressure on the workers to agree to his terms and conditions of service.
- **Gherao: -** In this the members of the management are prohibited from leaving the business or residential premises by the workers who block their exit through human barricades.
- **Picketing: -** In this workers are dissuaded(prevent) from reporting for work by certain persons stationed at the gate of the factory.
- **Boycotts: -** This aims at disputing the normal functioning of an enterprise through forceful appeals and negative behavioral acts
- **Retrenchment :-** It means the discharge of surplus labour or staff by the employer for any reason what-so-ever.
- **Layoff :-** means putting aside workmen temporarily. The duration of layoff should not be a period longer than the period of emergency.

Types of Disputes-

- **Disputes of right:-** which relate to the application or interpretation of an existing agreement or contract of employment and
- **Disputes of Interest: -** which relate to claims by employees or proposals by management about the terms and conditions of employment.

Collective Bargaining



Good relations between the employer and employees are essential for the success of industry. In order to maintain good relations, it is necessary that industrial disputes are settled quickly and amicably. One of the efficient methods of resolving industrial disputes and deciding the employment conditions is ***Collective Bargaining***. Industrial disputes essentially refer to differences or conflicts between employers and employees.

Collective Bargaining is a process in which the management and employee representatives meet and negotiate the terms and conditions of employment for mutual benefit. Collective bargaining involves discussion and negotiation between two groups as to the terms and conditions of employment. It is termed Collective because both the employer's negotiators and the employees act as a group rather than individuals. It is known as Bargaining because the method of reaching an agreement involves proposals and offers. There should be no outsiders involved in the process of collective bargaining.

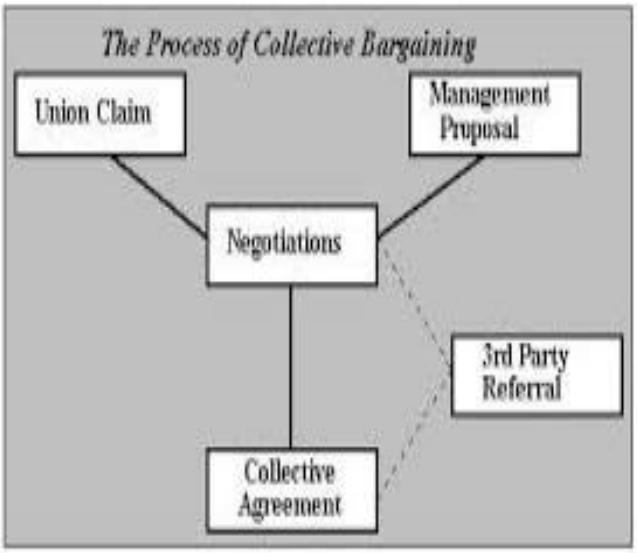
Characteristics of Collective Bargaining:

1. It is a group or collective action as opposed to individual action.
2. It is a flexible and dynamic process where-in no party adopts a rigid(not wanting to change) attitude.
3. It is a continuous process, which provides a mechanism for continuous negotiations and discussions between management and the trade unions.
4. It is a voluntary process without any third-party intervention. Both workers and management voluntarily participate in the negotiations, discuss and arrive at a solution. That is why it is known as a bipartite process where workers' representatives and management get an opportunity for clear, face-to-face communication.
5. It ensures industrial democracy at the workplace; it is a self-run government in action.
6. It is a two-way process. It is a mutual give and take rather than a ***take home all*** method of arriving at a solution to a dispute.

Objectives of Collective Bargaining:

1. To maintain cordial relations between the employer and employees.
2. To protect the interests of the workers through collective action and by preventing unilateral actions(on affecting one side only) from being taken by the employer.
3. To ensure the participation of trade unions in industry.
4. To avoid the need for government intervention as collective bargaining is a voluntary collective process.
5. To promote Industrial democracy.

Process Of Collective Bargaining



- **Preparation for Negotiation:**

  Preparation for negotiation in Collective Bargaining is as important as the negotiation process itself. Up to 83% of the outcomes are influenced by pre-negotiation process. Such preparation is required for both management as well as the union representatives.

- . **Identifying issues for Bargaining:**

The second step in bargaining process is the determination of issues which will be taken up for negotiations. The different types of issues are:

- **Wage-related issues**: Include wage or salary revision, allowance for meeting increased cost of living like Dearness Allowance (D.A), financial perks, incentives etc.
- **Supplementary economic benefits:** These include pension plans, gratuity plans, accident compensation, health insurance plans, paid holidays etc.
- **Administrative issues:** Include seniority, grievance procedures, employee health and safety measures, job security and job changes.
- The wage and benefits issues are the ones which receive the greatest amount of attention on the bargaining table.

- **Negotiation:** When the first two steps are completed, both parties engage in actual negotiation process at a time and place fixed for the purpose. The

management themselves takes the initiative to find out through comprehensive research and surveys the needs of the employees. Based on the analysis of the findings, the company designs its own package based on the issues to be bargained. Thereafter, a change is incorporated only when new facts are presented by the employees or their unions.

- **Initial negotiated agreement:** When two parties arrive at a mutually acceptable agreement either in the initial stage or through overcoming negotiation breakdown, the agreement is recorded with a provision that the agreement will be formalized after the ratification by the respective organizations.

- **Ratification (enactment, confirmation, sanction) of agreement:** Ratification of negotiated agreement is required because the representatives of both the parties may not have ultimate authority to decide various issues referred to for collective bargaining. The ratification of agreement may be done by the appropriate manager authorized for the purpose in the case of management, or trade executives in the case of the employees. Ratification is also required by the Industrial Disputes Act. It is important that the agreement must be clear and precise. Any ambiguity leads to future complications or other such problems.

    - **Implementation of agreement:** Signing the agreement is not the end of collective bargaining, rather it is the beginning of the process when the agreement is finalized, it becomes operational from the date indicated in the agreement. The agreement must be implemented according to the letter and spirit of the provisions made by the agreement agreed to by both parties. The HR manager plays a crucial role in the day-to-day administration implementation of the agreement.

Grievance

Grievance is any dissatisfaction or feeling of injustice in connection with one's employment situation that is brought to the attention of management. It is any discontent or dissatisfaction whether expressed or not, whether valid or not, arising out of anything connected with the company that an employee thinks, believes or even feels, is unfair, unjust or inequitable.

The National Commission on Labour Observed that "Complaints affecting one or more individual workers in respect of their wage payments, over time, leave, transfer promotion, seniority, and work assignment and discharges constitute Grievances".



Causes of Grievance

In order to handle the grievances efficiently, it is necessary to find and analyse the grievances of the subordinates. If a grievance is found to be genuine or real, corrective action should be taken immediately.

The causes of grievances may be broadly classified into the following categories:

(1) Grievances resulting from working conditions

(i) Improper matching of the worker with the job.

(ii) Changes in schedules or procedures.

(iii) Non-availability of proper tools, machines and equipment for doing the job.

(iv) Unreasonably high performance standards.

(v) Poor working conditions.

(vi) Bad employer – employee relationship, etc.

(2) Grievances resulting from management policy

(i) Wage payment and job rates.

(ii) Leave.

(iii) Overtime.

(iv) Seniority and Promotion.

(v) Transfer.

(vi) Disciplinary action.

(3) Grievances resulting from personal reasons

(i) Over – ambition.

(ii) Excessive self-esteem.

(iii) Impractical attitude to life etc.

GRIEVANCE HANDLING PROCEDURE

Maintaining quality of work life for its employees is an important concern for any Organization. Effective grievance handling is an essential part of cultivating good employee relations and maintaining a fair, successful, and productive work environment. The procedure should be flexible enough to meet the requirements of the Organization. It should be simple so that an average employee is able to understand it. Though such a procedure will vary in different Organizations, yet the following **principles** should be observed while laying down a procedure:

i) **A grievance should be dealt with in the first instance at the lowest level**: Dealing a grievance in the first instance at the lowest level is possible when an employee raises grievance with the immediate superior. It will help to settle the grievance on the spot and that will be the end of it.

ii) **It must be made clear to the employee what line of appeal is available**: If the aggrieved employee is not satisfied with reasons of the immediate superior, the employee should know the next higher authority to which the grievance can be reported.

iii) **Grievance should be resolved speedily*:*** Since delay causes frustration, it isessential to deal with the grievances as speedily as possible.

iv) **The grievance procedure should be set up with the participation of the employees*:*** In the finalization of grievance procedure, employees' participation needs to be ensured. The grievance procedure so finalized should be applicable to all in the Organization. The policies and rules regarding grievances should be laid down after taking inputs from the employees.

Model Grievance Procedure

The code of the Discipline adopted by the Indian Labour Conference in 1957 laid down that the management and unions should establish, upon a mutually agreed basis, grievance procedure which would ensure a speedy and full investigation leading to a settlement. At present the Model grievance procedure in India provides for five successive time bound steps, each leading to the next in case the aggrieved employee prefers an appeal. These steps are:

1. An aggrieved employee shall first present his grievance verbally in person to the officer designated by the management for this purpose. The response shall be given by the officer within 48 hours of the presentation of the complaint. If the worker is not satisfied with the decision of the officer or fails to receive the answer within 48 hours, he will either in person or accompanied by departmental head, present his grievance to the head of the department.

2. The head of the department shall give his answer within 3 days or if action cannot be taken within this period, the reason for delay should be recorded. If the worker is dissatisfied with the decision of the department all head, he may request that his grievance be forwarded to the GrievanceCommittee.

3. The Grievance Committee shall make its recommendation to the manager within 7 days of the workers request. If decision cannot be given within this period, reason should be recorded. Unanimous decision of the committee shall be implemented by the management. If there are differences of opinion among the members of the committee, the matter shall be referred to the

manager along with the views of the members and the relevant papers for final decision.

4. In either case, the final decision of the manger shall be communicated to the employee within three days from the receipt of the Grievance Committee's recommendations.

5. If the worker is not satisfied even with the final decision of the manager, he may have the right to appeal to the manager for revision. In making this appeal he may take a union official with him to facilitate discussion with the management. The management will communicate the decision within 7 days of workman's revision petition.

6. If worker is still not satisfied, the mater may be referred to voluntary arbitration.

Essentials of an Effective Grievance Procedure

A sound grievance procedure should incorporate the following features:

1. **Legal Sanctity:** The procedure should be designed in conformity with the existing statutory provisions. Where practicable the procedure can make use of such machinery as the law might have already provided for.

2. **Acceptability:** The grievance procedure must be acceptable to all and should, therefore, be developed with mutual consultation among management, workers and union. In order to be generally acceptable, the procedure must ensure a sense of fair play and justice to workers and reasonable participation of the union.

3. **Simplicity:** Simplicity in the procedure should be ensured. For that purpose the following issues should be taken care of:

    - The procedure should be simple enough to be understood by every employee.
    - Channels for handling grievances should be carefully developed.
    - Employees must know the authorities to be contacted at various levels.

- Information about the procedure should be communicated to all employees.

Promptness: The grievance procedure must aim at speedy redressal of grievances.